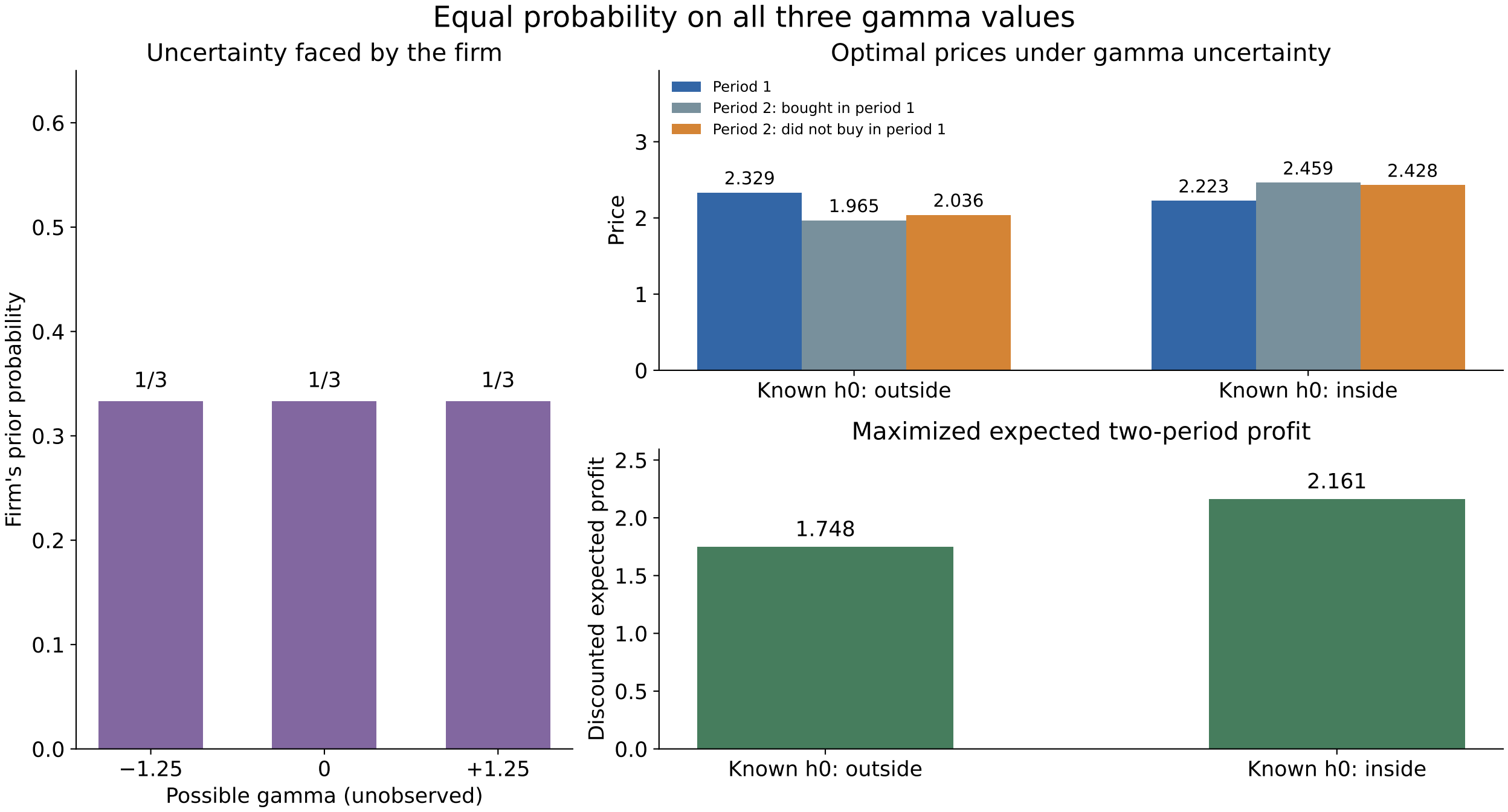
Equal probability on all three gamma values
Uncertainty faced by the firm
Firm's prior probability
0.0
0.1
0.2
0.3
0.4
0.5
0.6
1/3
1/3
1/3
−1.25
0
+1.25
Possible gamma (unobserved)
Optimal prices under gamma uncertainty
Period 1
Period 2: bought in period 1
Period 2: did not buy in period 1
Price
0
1
2
3
2.329
1.965
2.036
2.223
2.459
2.428
Known h0: outside
Known h0: inside
Maximized expected two-period profit
Discounted expected profit
0.0
0.5
1.0
1.5
2.0
2.5
1.748
2.161
Known h0: outside
Known h0: inside